17. The value of national income adjusted for inflation is called ….

(a) Inflation Rate
(b) Disposal Income
(c) GNP
(d) Real national income

18. Which is a flow concept ?

(a) Number of shirts
(b) Total wealth
(c) Monthly income
(d) Money supply

19. PQLI is the indicator of ……

(a) Economic growth
(b) Economic welfare
(c) Economic progress
(d) Economic development

20. The largest proportion of national income comes from …….

(a) Private sector
(b) Local sector
(c) Public sector
(d) None of the above

Answers

1	2	3	4	5	6	7	8	9	10
a	c	b	d	d	a	a	c	b	c
11	12	13	14	15	16	17	18	19	20
a	b	a	c	a	b	d	c	b	a

Part – B

Answer the following questions in one or two sentences.

21. Define National Income.
22. Write the formula for calculating GNP.
23. What is the difference between NNP and NDP?
24. Trace the relationship between GNP and NNP.
25. What do you mean by the term 'Personal Income'?
26. Define GDP deflator.
27. Why is self consumption difficult in measuring national income?

Part – C

Answer the following questions in one Paragraph.

28. Write a short note on per capita income.
29. Differentiate between personal and disposable income.
30. Explain briefly NNP at factor cost.
31. Give short note on Expenditure method.

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